

41

Head-and-Shoulders Tops



RESULTS SNAPSHOT

Appearance: A three-peak pattern with the center peak taller than the others, resembling a person's head and shoulders.

Downward Breakouts

	Bull Market	Bear Market
Reversal or continuation	Short-term bearish reversal	Short-term bearish reversal
Performance rank	9 out of 36	4 out of 19
Breakeven failure rate	19%	5%
Average decline	16%	24%
Volume trend	Downward	Downward
Pullbacks	68%	67%
Percentage meeting price target	51%	55%
See also	Head-and-shoulders tops, complex, triple top	

Of all the chart patterns in this book, the head-and-shoulders top is perhaps the most popular. In bear markets, performance shines with just 5% of the patterns failing to drop more than 5% after the breakout, and the average